23STCV22733 23STCV22733

County: los-angeles

Division: Civil Law and Motion

Department: 11

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Case Number: 23STCV22733 Hearing Date: July 28, 2026 Dept: 11

Rojas (23STCV22733)

Tentative

Ruling Re: Motion to Approve Private Attorneys General Act (“PAGA”) Settlement

Date: 7/28/26

Time: 11:00 am

Moving Party: Armando Rojas

(“Plaintiff”)

Opposing Party: None

Department: 11

Judge: Bruce Iwasaki

TENTATIVE RULING

Plaintiff’s motion to approve PAGA settlement is granted as to the gross settlement amount, attorney fees, attorney costs, administration costs, incentive award, and net settlement amount.

During oral arguments, the Court will ask Plaintiff’s counsel to discuss the release.

BACKGROUND

This is a wage-and-hour representative action.

Here, Plaintiff requests approval of the parties' PAGA-only settlement.

LAW

PAGA permits an "aggrieved employee" to recover Labor Code civil penalties on the Labor and Workforce Development Agency's ("LWDA") behalf, if the LWDA declines to collect the penalties itself. (Cal. Lab. Code, § 2699, subd. (a); see also Mejia v. Merchants Building Maintenance, LLC (2019) 38 Cal.App.5th 723, 732-733.) The California Supreme Court has distinguished between Labor Code "civil penalties" that are "intended to 'punish the employer' for wrongdoing, often 'without reference to the actual damage sustained'" and "statutory damages" that "primarily seek to compensate employees for actual losses incurred" – a PAGA action can recover only the former. (Z.B., N.A. v. Superior Court (2019) 8 Cal.5th 175, 182, 198 [holding that Labor Code section 558 "amount sufficient to recover unpaid wages" is not a "civil penalty" recoverable via PAGA].) "A PAGA action is 'fundamentally a law enforcement action designed to protect the public and not to benefit private parties.'" (Mejia, supra, 38 Cal.App.5th at 732; see also Iskanian v. CLS Transportation Los Angeles, LLC (2014) 59 Cal.4th 348, 381.)

PAGA requires a court to "review and approve any settlement of any civil action filed" under PAGA, but it does not provide review and approval standards or guidelines. (Cal. Lab. Code, § 2699, subd. (l)(2).) The California Supreme Court has interpreted PAGA as requiring courts to ensure that "any negotiated [PAGA] resolution is fair to those affected." (Williams v. Superior Court (2017) 3 Cal.5th 531, 549, emphasis added).) The parties affected by a PAGA settlement include: (1) the LWDA, who receives 65% of settlement funds and is "bound by the outcome of the proceeding to adjudicate the employee's PAGA claim" (Mejia, supra, 38 Cal.App.5th at

732); (2) the aggrieved employees, party and non-party, who receive 35% percent
of settlement funds and are, like the LWDA, bound by a PAGA action judgment;
(3) plaintiffs' counsel, who may be awarded reasonable attorney fees and costs;
and (4) defendant, who pays the settlement.[1]

Moniz v. Adecco USA, Inc. (2021) 72 Cal.App.5th 56 provides
greater detail about the standard courts should apply when evaluating PAGA
settlements. The opinion adopts the
"fair, reasonable, and adequate" standard used in class settlements.

DISCUSSION

Settlement Terms

Gross settlement amount = $320,000.00

Attorney fees = $106,666.67

Attorney costs = $20,047.62

Administration costs = $6,750.00

Incentive award = $5,000.00

Net settlement amount = $181,535.71

Analysis

Plaintiff's counsel's declaration
establishes that, in preparation for mediation, the parties took part in
informal discovery. Plaintiff's counsel
used the information to assess the value of the case and associated risks. Ultimately, Plaintiff's counsel came up with
maximum and discounted exposure estimates.
Plaintiff's counsel asserts that the gross settlement amount is within a
reasonable range, especially considering the defenses Defendant raised, and
that the settlement is fair, reasonable, and adequate. (See Sung Decl., ¶¶ 14-29.)

As PAGA necessitates, Plaintiff's
counsel submitted a pre-suit notice letter and a copy of the settlement to the
LWDA. (See id. at ¶¶ 10, 36, Exs.

2, 5.)

The Court finds as follows.

Gross Settlement Amount

Plaintiff's counsel calculated Defendant's maximum PAGA exposure to be $4,056,400.00. (See id. at ¶¶ 22-27.) He calculated Defendant's discounted, reasonable PAGA exposure to be $811,280.00, i.e., 20% of the maximum exposure, accounting for Defendant's defenses, evidence showing high compliance rates, and other factors. (See id. at ¶ 27.) It also appears that he calculated the discounted amount without stacking. (See ibid.)

The Court agrees that stacking is unlikely. "Until the employer has been notified that it is violating a Labor Code provision (whether or not the [Labor] Commissioner or court chooses to impose penalties), the employer cannot be presumed to be aware that its continuing underpayment of employees is a 'violation' subject to penalties." (Bernstein v. Virgin America, Inc. (9th Cir. 2021) 3 F.4th 1127, 1144.) There does not seem to be a prior citation by the Labor Commissioner in this case.

Notably, the calculation of the maximum exposure amount includes a claim-by-claim assessment. It is based, in general, on a $100.00 penalty per pay period per claim multiplied by a 25% estimated violation rate ($100.00 × 40,120 pay periods × 4 claims × 0.25). (See Sung Decl., ¶¶ 22-27 [further adding $44,400 in penalties for failure to pay wages due at separation].)

On balance, the Court finds the gross settlement amount ($320,000.00) fair, reasonable, and adequate. The parties agreed to it via arm's-length mediation after investigation and discovery. The gross settlement amount is approximately 40% of Defendant's reasonable exposure amount, and it reasonably takes the deduction factors highlighted by Plaintiff's counsel into account.

Attorney Fees

The amount for attorney
fees ($106,666.67) is fair, reasonable, and
adequate. This is a contingency
case. (See, e.g., id. at ¶ 30.) In contingency cases in the complex courts,
33% to 35% of the gross recovery is standard.

Attorney Costs

The amount for attorney
costs ($20,047.62) is fair, reasonable, and
adequate. It is just over 6% of the
gross settlement amount, and it is within the range that has been approved in
other complex cases in Department 11.

The settlement agreement caps
attorney costs at $30,000.00. (See
id. at Ex. 1, § III.4.a.) If the
costs fail to reach the cap, the Court will award the incurred amount to ensure
that additional settlement money goes to the LWDA and aggrieved employees.

Administration Costs

The amount for
administration costs ($6,750.00) is fair, reasonable, and
adequate. Like the attorney costs, it is
within the range that is typically approved in Department 11.

Incentive Award

The amount for
Plaintiff's incentive award ($5,000.00) is fair, reasonable, and adequate. It is the Court's standard award.

Net Settlement Amount

The net settlement amount ($181,535.71) is fair, reasonable, and
adequate. It is approximately 57% of the
gross settlement amount.

Release[2]

The Court is concerned about overbreadth. First, do Plaintiff and the aggrieved employees have standing to release claims on behalf of former and current representatives, agents, attorneys, heirs, administrators, successors, and assigns? Second, is the definition of "Released Parties" overinclusive?[3] At the hearing, Plaintiff's counsel needs to address the scope of the release.

[1] Recently, the Legislature amended PAGA, changing the LWDA's recovery from 75% to 65% and the aggrieved employees' recovery from 25% to 35%. (See Chin, et al., Cal. Practice Guide: Employment Litigation (The Rutter Group 2025) ¶ 17:830.) The Court orders the parties to adjust the settlement to comply with these percentages.

[2] The release appears in section III.6 of the settlement agreement.

[3] "Released Parties" means Defendant and "each of its former and present directors, officers, shareholders, owners, members, predecessors, successors, assigns, subsidiaries, and affiliates." (Id. at Ex. 1, § I.17.)